This in turn has resulted in rapid increase in domestic consumption in the country. The standard of living has considerably improved and life style has changed.

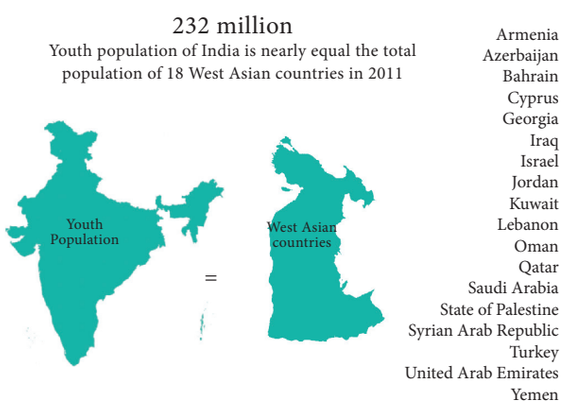
8. *Rapid growth of Urban areas*

Urbanization is a key ingredient of the growth of any economy. There has been a rapid growth of urban areas in India after independence. Improved connectivity in transport and communication, education and health have speeded up the pace of urbanization.

9. *Stable macro economy*

The Indian economy has been projected and considered as one of the most stable economies of the world. The current year's Economic survey represents the Indian economy to be a ***"haven of macroeconomic stability, resilience and optimism.*** According to the Economic Survey for the year 2014-15, 8%-plus GDP growth rate has been predicted, with actual growth turning out to be a little less (7.6%). This is a clear indication of a stable macroeconomic growth.

10. *Demographic dividend*



The human capital of India is young. This means that India is a pride owner of the maximum percentage of youth. The young population is not only motivated but skilled and trained enough to maximize the growth. Thus human capital plays a key role in maximizing the growth prospects in the country. Also, this has invited foreign investments to the country and outsourcing opportunities too.

7.3.2 Weakness of Indian Economy

1. *Large Population*

India stands second in terms of size of population next to China and our country is likely to overtake China in near future. Population growth rate of India is very high and this is always a hurdle to growth rate. The population growth rate in India is as high as 1.7 per 1000.The annual addition of population equals the total population of Australia.

2. *Inequality and poverty*

There exists a huge economic disparity in the Indian economy. The proportion of income and assets owned by top 10% of Indians goes on increasing. This has led to an increase in the poverty level in the society and still a higher percentage of individuals are living Below Poverty Line (BPL). As a result of unequal distribution, 'the rich become richer and the poor become poorer'.

3. *Increasing Prices of Essential Goods*

Even though there has been a constant growth in the GDP and growth

Chapter-07.indd 146 1/2/2023 11:50:42 AM